

Company Car and Car Allowance Policy (UK)

Policy code: POL-FIN-015. Owner: Finance, in partnership with Reward. Effective date: 1 July 2024. Applies to: employees of Meridian Instruments Ltd employed in the United Kingdom only. Employees in Rotterdam, Austin and Penang are covered by local arrangements and are not eligible under this policy.

1. Purpose

This policy sets out who is eligible for a car allowance or a company car, how the electric company car scheme works, and how employees who receive car support claim business mileage. It supports Meridian's commitment to reduce fleet emissions by moving all new company cars to fully electric vehicles.

2. Car allowance

A cash car allowance is paid to UK employees in the following grades:

Grade | Annual car allowance

G6–G7 | £5,400

G8–G9 | £7,800

G10 | £10,200

The allowance is paid monthly through payroll in twelve equal instalments, is subject to tax and National Insurance, and is not pensionable. It is pro-rated for part-time employees and for employees who join or change grade part-way through the year. Grades are defined in the Grade Structure, Salary Ranges and Bonus Targets document.

Employees receiving the allowance must have a roadworthy vehicle available for business use, hold a full UK driving licence, and hold business-use insurance. Evidence of insurance must be uploaded to Keel each year.

3. Electric company car scheme

Field sales roles at grade G4 and above, and other roles where the job requires more than 8,000 business miles a year, may choose a company car instead of the allowance where they are eligible.

- All new company cars are fully electric. Hybrid and petrol or diesel vehicles are not offered.
 - The vehicle list price cap is £45,000 including options and VAT.
 - Employees may pay for a vehicle above the cap through a monthly salary deduction for the difference, subject to Finance approval.
 - Leases run for 48 months or 80,000 miles.
 - Meridian pays for the lease, insurance, maintenance, tyres and breakdown cover.
 - Benefit-in-kind tax is the responsibility of the employee.
- Employees who choose a company car do not receive the car allowance. A switch between allowance and car is only possible at lease end or on a change of role.

4. Home charging

Company car drivers may have a home charger installed. Meridian reimburses the cost of home charger installation up to £1,000, claimed once through Atlas > Expenses > New Claim with the installer's invoice. Any cost above £1,000 is paid by the employee. The charger remains the employee's property.

Electricity used to charge a company car at home for business mileage is reimbursed through the mileage claim described in section 5. There is no fuel card for electric vehicles.

5. Business mileage

How business mileage is reimbursed depends on the type of car support the employee receives.

Situation | Mileage rate

Company car (electric) | HMRC Advisory Electric Rate

Car allowance, own car | HMRC Advisory Fuel Rate for the car's engine size and fuel, or

Advisory Electric Rate

No car allowance, own car | Standard rate in POL-FIN-007

Employees who receive a car allowance or a company car must not claim the standard private car mileage rate set out in the Travel and Expense Policy (POL-FIN-007). The allowance already contributes to the cost of owning and running the car, so only the fuel or electricity element is reimbursed.

The current HMRC Advisory Fuel Rates and Advisory Electric Rate are published monthly in Atlas and are applied automatically when the employee selects "Mileage – car allowance" or "Mileage – company car" in the claim. Mileage must be supported by a mileage log (form F-207 or the Atlas mileage log) showing date, start and end points, purpose and miles.

Ordinary commuting between home and the employee's normal workplace is not business mileage.

6. Driver responsibilities

- Hold a valid licence and report any endorsement or disqualification to Finance within 5 working days.
 - Never drive while using a hand-held phone or under the influence of alcohol or drugs.
 - Report accidents to the fleet provider and to Finance within 24 hours.
 - Pay any fines or penalty charges incurred while driving.
- Licences are checked annually by Finance using the DVLA online service with the driver's consent.

7. Leaving Meridian

Company cars must be returned on or before the last working day. Early termination charges on the lease may be recovered from the employee if they resign within the first 12 months of a lease, except where local law does not allow it. The car allowance stops from the leaving date.

8. Contacts

Questions about this policy should be sent to expenses@meridian-instruments.example. Questions about the allowance in payroll should be sent to payroll-uk@meridian-instruments.example.